

Texas MLO Math and Timing Cheat Sheet

Core Formulas

Topic	Formula
LTV	$\text{Loan amount} / \text{property value}$
CLTV	$\text{Total liens} / \text{property value}$
HCLTV	$\text{Total liens including full HELOC line} / \text{property value}$
Down payment	$\text{Purchase price} - \text{loan amount}$
Equity	$\text{Property value} - \text{total liens}$
Front-end ratio	$\text{Housing payment} / \text{gross monthly income}$
Back-end DTI	$\text{Total monthly debt} / \text{gross monthly income}$
Annual income to monthly	$\text{Annual income} / 12$
Hourly income to monthly	$\text{Hourly rate} \times \text{weekly hours} \times 52 / 12$
Weekly income to monthly	$\text{Weekly gross} \times 52 / 12$
Biweekly income to monthly	$\text{Biweekly gross} \times 26 / 12$
Semimonthly income to monthly	$\text{Semimonthly gross} \times 2$
Discount points	$\text{Loan amount} \times \text{point percentage}$
One point	$\text{Loan amount} \times 1\%$
Break-even on points	$\text{Cost of points} / \text{monthly savings}$
Daily interest	$\text{Loan amount} \times \text{annual rate} / 365 \times \text{days}$
Monthly escrow	$\text{Annual escrow item} / 12$
Max escrow cushion	$\text{Annual escrow disbursements} / 6$
ARM fully indexed rate	$\text{Index} + \text{margin}$
Interest-only payment	$\text{Loan amount} \times \text{annual rate} / 12$
Seller concession max	$\text{Purchase price} \times \text{allowed percentage}$

Must-Know Timing

Item	Deadline
Loan Estimate	Within 3 business days after six-item application
Home Loan Toolkit	Within 3 business days after covered purchase application
LE also before closing	Not later than 7 business days before consummation
Revised LE	Within 3 business days of valid changed circumstance; received no later than 4 business days before consummation
Closing Disclosure	Consumer receives at least 3 business days before consummation
CD restart events	APR inaccurate, loan product changes, prepayment penalty added
ECOA action taken	30 days after completed application
ECOA adverse action on incomplete application	30 days after adverse action unless notice of incompleteness used
ECOA counteroffer not accepted	90 days after counteroffer notice
Rescission	Until midnight of 3rd business day after last trigger
Creditor after rescission notice	20 calendar days
Initial escrow statement	At settlement or within 45 calendar days after settlement
Annual escrow statement	Within 30 days after escrow computation year ends
Escrow surplus refund	Within 30 days if surplus is \$50 or more and borrower current
Servicing transfer - old servicer	At least 15 days before effective transfer
Servicing transfer - new servicer	Not more than 15 days after effective transfer
Mortgage ownership transfer	On or before 30th calendar day after transfer
High-cost mortgage disclosure	At least 3 business days before consummation/account opening

Six TRID Application Items

1. Consumer name.
2. Consumer income.
3. Social Security number to obtain credit report.
4. Property address.
5. Estimated property value.
6. Mortgage loan amount sought.

Date Counting Rules

- General business day: creditor open for substantially all business functions.
- Specific business day: all calendar days except Sundays and legal public holidays.
- Loan Estimate timing uses general business days.
- Closing Disclosure waiting period uses specific business days.
- Rescission uses specific business days.
- Usually do not count the triggering day.

Wrong Answer Traps

- Requiring bank statements before issuing the Loan Estimate.
- Treating every CD change as a new 3-day waiting period.
- Saying purchase loans usually have rescission.
- Forgetting Saturday can count for CD/rescission timing.
- Using net income instead of gross monthly income.
- Leaving out known debt from DTI.
- Confusing servicing transfer with ownership transfer.
- Paying or accepting referral fees.
- Pressuring an appraiser.
- Treating Texas one-off origination as automatically allowed.